

MIDTERM EXAMINATION
Spring 2009
MGT602- Entrepreneurship
Solved by vuZs Team
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Time: 60 min
Marks: 50

Question No: 1 (Marks: 1) - Please choose one

Which of the following has not yet been empirically established as a distinguishing characteristic of entrepreneurs?

- ▶ Locus of control
- ▶ Feeling about independence
- ▶ Need for achievement
- ▶ **Risk taking**

The traits most frequently researched are the need for achievement, locus of control, risk-taking, and gender identity.

Question No: 2 (Marks: 1) - Please choose one

The level at which an individual is viewed by society is called:

- ▶ Financial status
- ▶ Qualification
- ▶ **Social status**
- ▶ Achievement

Lesson 09

Social status: The level at which an individual is viewed by society

Question No: 3 (Marks: 1) - Please choose one

Which one of the following is a business arrangement in which someone else is allowed to use something of the company?

- ▶ Patent
- ▶ Trade mark
- ▶ Copy right
- ▶ **Licensing**

Lesson 11

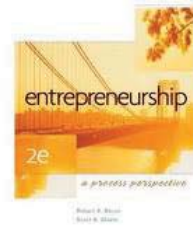
Licensing involves a manufacturer giving a foreign manufacturer the right to use a patent, trademark, or technology in return for a royalty.

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Question No: 4 (Marks: 1) - Please choose one

Which of the following method entrepreneur can use to do international business with least risk?

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► **Turnkey projects**

- Joint venture
- Merger
- Synergy

Lesson 11

Turn-key projects: Lesser-developed countries are able to obtain manufacturing technology without surrendering economic control through turn-key projects.

Question No: 5 (Marks: 1) - Please choose one

A company dealing in beer has a merger with cigarettes manufacturing firm. This merger is called:

- Horizontal merger
- **Product extension merger**
- Market extension merger
- Vertical merger

Question No: 6 (Marks: 1) - Please choose one

Which one of the following is an important source of idea generation due to their familiarity with the needs of market?

- Existing products and services
- **Distribution channels**
- Federal government
- Consumers

Distribution Channels: Because they are familiar with the needs of the market, channel members often have suggestions for new products. These channel members can also help in marketing the new product.

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Question No: 7 (Marks: 1) - Please choose one

Members of distribution channels are excellent sources for new ideas because:

- **They are familiar with the needs of the market**
- They earn a handsome profit from new business
- They do not bother if entrepreneur bears a loss
- They have well-developed sales force

Distribution Channels: Because they are familiar with the needs of the market.

Question No: 8 (Marks: 1) - Please choose one

Which one of the following is the most important characteristic of a successful business website?

- **Speed**
- Innovation

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- ▶ Graphics
- ▶ Products

A successful website has three characteristics: speed, speed, and speed.
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Question No: 9 (Marks: 1) - Please choose one

Which one of the following is the next stage to the Concept Stage of Product Planning and Development Process?

- ▶ Idea Stage
- ▶ Product Planning Stage
- ▶ **Product Development Stage**
- ▶ Test Marketing Stage

Product planning and development process: Generally divided into five major stages: idea stage, concept stage, product development stage, test marketing stage, test marketing stage, and commercialization stage.

Question No: 10 (Marks: 1) - Please choose one

According to the governing bodies of common laws, the life of trade secret is:

- ▶ 12 years
- ▶ 17 years
- ▶ 20 years
- ▶ **As long as it remains confidential**

Question No: 11 (Marks: 1) - Please choose one

SBA stands for:

- ▶ Small business accountants
- ▶ **Small business administration**
- ▶ Small business adequacy
- ▶ Small business advisors

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Question No: 12 (Marks: 1) - Please choose one

Why should an entrepreneur do a feasibility study for starting a new venture?

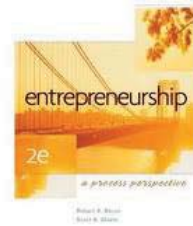
- ▶ **To see if there are possible barriers to success**
- ▶ To identify possible sources of funds
- ▶ To estimate the expected sales
- ▶ To explore potential customers

Before preparing a business plan, the entrepreneur should do a quick feasibility study to see if there are possible barriers to success.

Question No: 13 (Marks: 1) - Please choose one

Information regarding all of the following is related to operations, EXCEPT:

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- ▶ Location
- ▶ **Promotion**
- ▶ Raw materials
- ▶ Labor skills

Lesson 22

Operations Information Needs

The entrepreneur may need information on:

1. Location
2. Manufacturing operations
3. Raw materials
4. Equipment
5. Labor skills
6. Space
7. Overhead

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Question No: 14 (Marks: 1) - Please choose one

Which one of the following guide the firm through the long term decision making?

- ▶ **Mission statement**
- ▶ Product forecast
- ▶ Industry analysis
- ▶ None of the given options

Question No: 15 (Marks: 1) - Please choose one

Which of the following is included in the description of the business?

- ▶ Location
- ▶ Products offered
- ▶ History
- ▶ **All of the given options**

The new venture should be described in detail, including the product, location, personnel, background of entrepreneur, and history of the venture.

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Question No: 16 (Marks: 1) - Please choose one

For which of the following copy right acquisition is desirable?

- ▶ Songs
- ▶ Poems
- ▶ Models
- ▶ **All of the given options**

A copyright protects original works of authorship.

Question No: 17 (Marks: 1) - Please choose one

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Which of the following is TRUE for Disclosure Document?

- ▶ It gives recognition that he was the inventor of the idea in past
- ▶ It gives recognition that he is the first the inventor of the idea
- ▶ It gives recognition that he will be the invent an idea in future
- ▶ **It gives recognition that he wants to copy the idea**

Disclosure Document: A document disclosing an invention, and signed by the inventor or inventors that is forwarded to the USPTO only as evidence of the date of conception of the invention. The Disclosure Document: Statement to U.S. Patent and Trademark Office by inventor disclosing intent to patent idea.

Question No: 18 (Marks: 1) - Please choose one

Which of the following is a idea generation method that focuses on parameters?

- ▶ Brainstorming
- ▶ Reverse brainstorming
- ▶ **Creative problem solving**
- ▶ Synectics

Creative problem solving is a method for obtaining new ideas focusing on the parameters.

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Question No: 19 (Marks: 1) - Please choose one

The transitional disturbance and lack of reform has led to a booming black market in:

- ▶ China
- ▶ Hungary
- ▶ Singapore
- ▶ **Poland**

In Poland, the transitional upheaval and lack of reform has led to a thriving black market.

Question No: 20 (Marks: 1) - Please choose one

Which of the following geographical area is of least interest to U.S entrepreneurs?

- ▶ Europe
- ▶ The Far East
- ▶ **Central Asia**
- ▶ Transition economies

Three areas of particular interest to U.S. entrepreneurs are Europe, the Far East and transition economies.

Question No: 21 (Marks: 1) - Please choose one

Which one of the following gives suggestions for new product and also help to market new products?

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- ▶ Existing products and services
- ▶ **Distribution channels**
- ▶ Federal government
- ▶ Consumers

Distribution Channels: Because they are familiar with the needs of the market, channel members often have suggestions for new products. These channel members can also help in marketing the new product.

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Question No: 22 (Marks: 1) - Please choose one

Which of the following is used by entrepreneurs to acquire experience in an international market before making a major commitment?

- ▶ Merger
- ▶ **Joint venture**
- ▶ Minority interest
- ▶ Majority interest

The joint venture provides ready access to new international markets.

Question No: 23 (Marks: 1) - Please choose one

GATT is established in 1947, under:

- ▶ German leadership
- ▶ French leadership
- ▶ **U.S. leadership**
- ▶ U.K. leadership

With the new GATT (General Agreement on Tariffs and Trade) that took effect on January 1, 1996, any application by a foreign company will be treated equally to an American firm.

Question No: 24 (Marks: 1) - Please choose one

The entrepreneur was distinguished from capital provider in:

- ▶ Middle ages
- ▶ **18th century**
- ▶ 17th century
- ▶ 19th and 20th century

18th Century: In the 18th century the person with capital was differentiated from the one who needed capital.

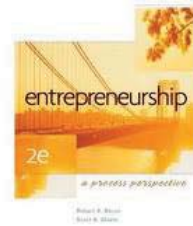
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Question No: 25 (Marks: 1) - Please choose one

A person who managed large project was termed as the entrepreneur in the _____.

- ▶ Earliest period

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► **Middle ages**

- 17th century
- 19th and 20th century

Middle Ages: In this age the term entrepreneur was used to describe both an actor and a person who managed large production projects.

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Question No: 26 (Marks: 1) - Please choose one

Which of the following factor is most important in forming a new business?

- Finance
- Marketing
- **Government support**
- Family support

Government support for businesses:

The government provides support to help businesses to:

- start up, grow and succeed
- overcome current financial and economic challenges
- innovate
- trade internationally.

Question No: 27 (Marks: 1) - Please choose one

What is the process by which individuals pursue opportunities without regard to resources they currently control?

- Startup management
- **Entrepreneurship**
- Financial analysis
- Feasibility planning

Entrepreneurship is a process by which individuals pursue opportunities without regard to the resources which they currently control.

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Question No: 28 (Marks: 1) - Please choose one

Which one of the following is the process of entrepreneurs developing new products that over time make current products obsolete?

- New business model
- Anatomization
- **Creative destruction**
- None of the given options

When entrepreneurs take bold leaps and break contact with the familiar, they often leave behind a clutter of obsolete products and processes. This force is called creative destruction.

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Question No: 29 (Marks: 1) - Please choose one

Which of the following shows the process of creating something new?

- ▶ Business model
- ▶ Modeling
- ▶ **Innovation**
- ▶ Creative flexibility

Question No: 30 (Marks: 1) - Please choose one

Which of the following factors is the most important in forcing U.S companies to focus on new product development and increased productivity?

- ▶ Entrepreneurship
- ▶ **Hyper competition**
- ▶ Governmental laws
- ▶ Organizational culture

Hyper competition has forced U.S. companies to focus on new product development and increased productivity.

Question No: 31 (Marks: 1) - Please choose one

In the administrative domain, the commitment of resources is for which of the following?

- ▶ Periodic intervals
- ▶ **Total amount needed**
- ▶ For certain tasks
- ▶ For long time

In the administrative domain, the commitment of resources is for the total amount needed.

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Question No: 32 (Marks: 1) - Please choose one

Which of the following is alternatively called corporate venturing?

- ▶ Entrepreneurship
- ▶ **Intrapreneurship**
- ▶ Act of stating a new venture
- ▶ Offering new products by an existing company

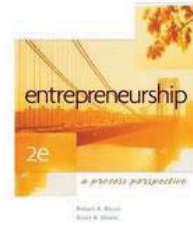
Intrapreneurship, also called corporate venturing, is not without problems.

Question No: 33 (Marks: 1) - Please choose one

Which is the most common cause of business failure?

- ▶ Insufficient capital
- ▶ Unstable market
- ▶ Insufficient experience

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► **Poor entrepreneurship**

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Question No: 34 (Marks: 1) - Please choose one

Which of the following areas are preferred by women entrepreneurs?

► **Administration**

- Utilities
- Manufacturing
- None of the above

Occupations: Both groups tend to have experience in the field of their ventures. Men more often have experience in manufacturing, finance, or technical areas. Most women usually have administrative experience, often in service-related fields.

Question No: 35 (Marks: 1) - Please choose one

Degree of influence and control on other people is called:

► **Locus of control**

- Locomotion of control
- Locust of control
- Loss of control

Question No: 36 (Marks: 1) - Please choose one

Individuals influencing an entrepreneur's career choice and style are known as which of the following?

► **Role model**

- Moral-support network
- Professional support network
- Support system

Role models: Individuals influencing an entrepreneur's career choice and style.

Question No: 37 (Marks: 1) - Please choose one

The activity which occurs when the new venture is started is called:

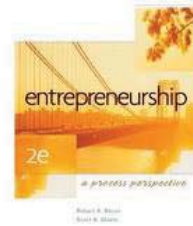
- Motivation
- Business skills
- **Departure point**
- Goal orientation

Departure points: The activities occurring when the venture is started.

Question No: 38 (Marks: 1) - Please choose one

Female entrepreneurs differ from male entrepreneurs in terms of all of the following EXCEPT:

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► **Motivation**

- Business skills
- Departure point
- Goal orientation

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Question No: 39 (Marks: 1) - Please choose one

The former USSR received technology and syrup from Pepsi and provided it with Soviet vodka and rights to distribute it in the US. This is an example of:

- Economic development
- **Barter system**
- Balance of payment
- International trade

Type of System Barter or third-party arrangements have been used to increase business activity with the Commonwealth of Independent States, the former U.S.S.R.

Question No: 40 (Marks: 1) - Please choose one

Which one of the following may need the business plan?

- Employees
- Investors
- Advisors
- **All of the given options**

The business plan must be comprehensive enough to address the concerns of employees, investors, bankers, venture capitalists, suppliers, and customers.

Question No: 41 (Marks: 5) - Please choose one

What is meant by the role model? What role do they perform?

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Question No: 42 (Marks: 5) - Please choose one

X.Y.Z. Company has launched a product in the market. And the customers are complaining about the quality of the product. Company is not taking any action against it. Customers want to sue the company. How many ways customers can claim regarding product liability?

And also suggest the best which is suitable in this situation with sound reasons.

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